A REAL DEAL, START TO FINISH

The exact numbers. The real timeline. The mistakes.

Behind my first rental out of state. Borrow the wins. Skip the costly parts.

- Real out-of-state BRRRR deal
- Full timeline & numbers

$70,000

Purchase price · January 2021

↓

$170,000

Estimated value today

$104,000 of that is already equity, after we'd pulled almost all of our original cash back out through a refinance. This case study shows exactly how.

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One Property, Four Years, Real Numbers

This is the same rental property from the video.
A single family house my wife and I bought out of state in 2021.
We used the BRRRR method. Buy, Rehab, Rent, Refinance, Repeat.

PURCHASE PRICE **$70,887**	CASH I PUT IN **$40,000**	PERSONAL LOAN **$30,000**
RENOVATION COST **$14,625**	REFINANCE CASH BACK **$67,351**	NET LEFT IN THE DEAL **$18,026**
VALUE TODAY **$170,000**	EQUITY TODAY **$104,000**	MONTHLY CASH FLOW **~$430**

After the refinance, we pulled almost all of our original cash back out.
We pulled all of our original cash back out. We still own the property and get the benefits of cashflow and appreciation.

STEP 1 & 2

Making the Decision & Sizing the Capital

My wife and I wanted income that didn't depend on either of us working more hours. Before we looked at a single listing, I learned how to underwrite a rental: how to read a rent roll, estimate PITIA, and calculate what a property needed to earn.

We also made one decision early that shaped everything after it: we were going to hire a property manager from day one. It wasn't passive at first. Finding the property, figuring out our finances, interviewing property managers and contractors, all took time. Once that was done, it became pretty hands off.

That budget put us in a specific search box. Properties at $100,000 to $150,000 or less, priced to leave room for both a discount and a rehab.

WHERE THE $80,000 WENT

$80,000

total savings, split on purpose

- Down payment: $40,000–$50,000
- Renovation & reserves: $30,000

A distressed property without a renovation and reserve budget is a different, much riskier deal. That second number mattered as much as the first.

STEP 3

Choosing the Market and the Strategy

My good friend is in the Navy. He mentioned it could be a good idea to buy rentals near military bases because housing stipends mean consistent reliable rent payments.

- Purchase price was significantly lower than anything comparable near us
- The risk on a smaller loan felt more manageable for a first deal
- North Carolina's landlord tenant law favors landlords more

Buy → Rehab → Refinance → Rent

+ Repeat. Do it again with the equity you pull back out.

We chose our strategy on purpose: a discounted property that needed work, so we could renovate and build instant equity. We financed and executed it using the BRRRR method.

STRATEGIES

3 Ways to Structure Your First Deal

There's more than one way to do this. Here are the three strategies from the video. We used the third one.

1

Buy a Primary

Don't Worry, Convert Later

Buy a primary residence. Live in it for a while. Then move out and convert it into a rental.

2

House Hack

Buy a property, live in part of it, and rent out the rest.

Buy a 2 unit property. Live in one unit. Rent out the other.
Buy a single family home. Live in one room. Rent out the other rooms.

3

BRRRR

Buy, Rehab, Rent, Refinance, Repeat.

Buy a property below market value. Renovate it to increase the value. Get it rented. Refinance once the value has gone up, to pull your cash back out. Repeat with the cash you pulled out.

This is the strategy behind the property in this case study.

STEP 4, 5 & 6

Financing It, Finding It, and Holding It

STEP 4 · TALK TO A LENDER

Step 4 in the video is simple. Talk to a lender before you look at a single property.
We used our credit union to get a personal loan instead of a traditional mortgage when we purchased. We later refinanced to pull most of our initial investment back out.

STEP 5 · THE PROPERTY SEARCH

1. Search

Look for properties that match your criteria. Location, price, property type, cash flow target.

→

2. Negotiate

Submit an offer and negotiate terms.

→

3. Escrow & Closing

Get the inspection and appraisal done. Work through any issues. Close if it checks out.

I looked at over 100 properties before I submitted an offer. None of them matched my criteria until this one did.

STEP 6 · HOLD AND BUILD WEALTH

The keys are yours. Now it's time to manage your asset!
In my scenario, we wanted to have peace of mind when it came to repairs. We immediately repaired the roof and made other upgrades.
This did 2 things: saved on maintenance cost down the road and made our tenants happy.

Go to the next page for the details. →

THE DEAL, DATE BY DATE

How It Actually Unfolded

● Acquisition ● A win ● Unplanned cost

Jan 2021

Found the deal through a wholesaler on BiggerPockets

The property had an existing 5 year tenant that wanted to stay. We did a full analysis and underwrote the deal immediately because it looked like it fit my buy box.

Jan 2021

Under contract in one day

We moved fast once the numbers worked. Sellers respond to speed and certainty more than almost any other term.

Feb 2021

Closed for $70,887 total

Funded with $40,000 cash and a $30,000 personal loan from our credit union. Not a mortgage.

Feb 2021

Property manager hired, renovation scoped

We chose a contractor who didn't require payment until the work was complete and we were satisfied.

Mar–Jun 2021

Renovation completed: $14,625

Roof, flooring, kitchen counter, paint, and both bathrooms. A roof leak came up partway through and needed an unplanned fix.

Jul–Sep 2021

Rent raised from $650 to $900

The existing tenant had been paying well under market for years. We repositioned rent gradually.

THE DEAL, DATE BY DATE

How It Actually Unfolded

● Acquisition ● A win ● Unplanned cost

Oct–Dec 2021

Refinanced: appraised at $117,500

New loan of $72,900 at 4.25%, which returned $67,351 of our original cash while we kept the property.

Apr 2022

Lightning strikes a dead tree, $1,200 to remove it

Insurance required us to remove the tree before it could fall and cause damage. Zero warning.

Sep 2022

Rent raised again to $1,000

A second, modest increase once the market and tenant relationship supported it.

Feb 2021

Sewer line wasn't actually connected, $3,776 to fix

A due diligence miss on my part. The fix wiped out a full year of cash flow.

Mar–Jun 2021

Long term tenant moved out

The amazing tenant abruptly moved out but kept the property in good shape.

Jul–Sep 2021

Valued near $170,000, ~$66,000 owed, ~$430/mo cash flow

Around $104,000 in equity with a new tenant in place.

WHAT DIDN'T GO ACCORDING TO PLAN

The Parts Most People Don't Post About

We screened over 100 properties before making an offer

None matched the criteria we set in Step 1. Price, location, condition, cash flow target. It was tempting to loosen the bar to move faster. We didn't.

We walked away from a different deal entirely

On a separate $150,000 property, inspection turned up ~$20,000 of foundation work. The seller declined to cover it, so we cancelled.

The sewer line mistake · $3,776

I assumed the property was connected to the city sewer line. It wasn't. Confirming utility connections is now something I never skip.

The lightning strike · $1,200

A dead tree had to come down for insurance to cover future damage. No way to see it coming. Exactly why reserves exist.

None of these were dealbreakers. They're the reason we kept $30,000 in reserves in the first place. They're also the reason the property still cash flows today.

WHERE IT STANDS TODAY

2021 vs. Now

	At Purchase (2021)	Today
Property value	$70,887	**$170,000**
Loan balance	$70,887 (total cost)	**~$66,000**
Equity	~$0 net (plus a discount)	**~$104,000**
Monthly rent	$650	**$1,000**
Cash left in the deal	$70,887	**$18,026**

That $104,000 in equity is the leverage math playing out in a real deal.

We didn't earn appreciation on the $18,026 we ultimately left in the property. We earned it on the full $170,000 asset.

LESSONS WORTH BORROWING

What I'd Tell Myself on Day One

01 Decide fast, and move with confidence

We put this property under contract in one day. Sellers respond to certainty and speed more than almost any other term in an offer.

02 Budget for the unexpected

Lightning, a missed utility connection, an early tenant departure. None of it was in the plan. Our $30,000 reserve is why none of it threatened the deal.

03 Management makes it passive, not effortless

The upfront renovation and getting it leased up took real attention. Once it stabilized, a property manager kept it running day to day.

04 Due diligence is where deals are won or lost

We walked away from a $150,000 property over a $20,000 foundation issue. Later we learned assuming a utility connection isn't the same as confirming it.

YOUR NEXT STEP

The Process Is Simple.

Applying It to Your Numbers Isn't.

This case study is one version of the 6 step process from the video, applied to one real property. Your down payment, your market, and your goals will point you toward a different market, loan type, or property. That's exactly the conversation a strategy call is for.

I'm a licensed mortgage broker in AZ, CA, FL, HI, OR, PA, TN, TX. If you're working through your own down payment, timeline, or first deal in one of those states, bring your numbers to a free 15 minute call.

Book your free strategy call

calendly.com/realdarrentsai/15min

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